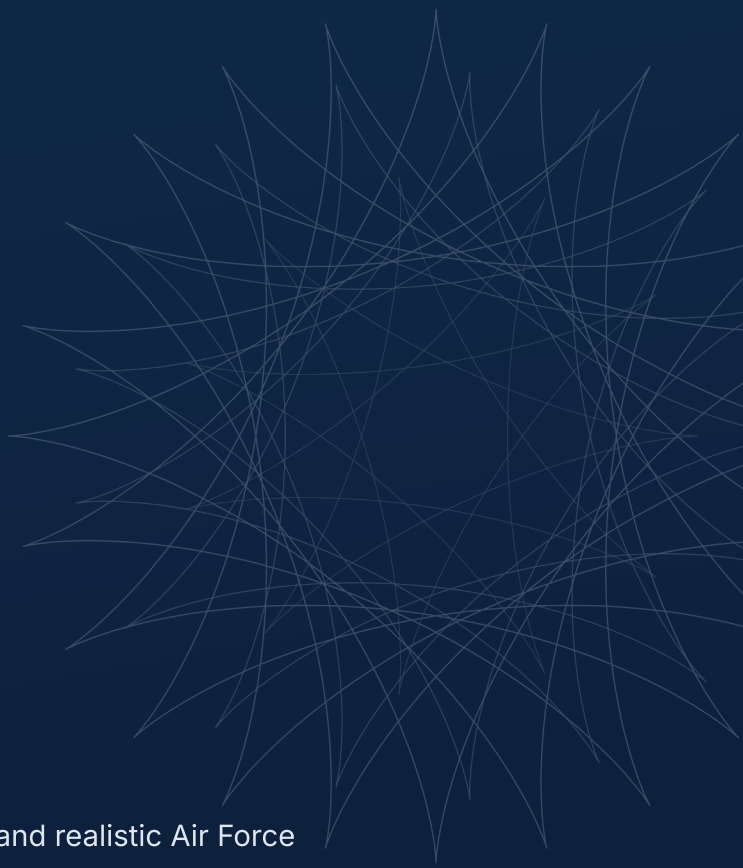
AcqVault | FIELD GUIDE

VOL 01

Contracting Foundations

Air Force contracting — from your first day to a defensible decision

VOLUME 1 · THE BASICS



Core concepts in plain language, decision flowcharts, and realistic Air Force scenarios — the field reference a new 1102 keeps within reach.

READ THIS FIRST

How to Use This Guide

This is a foundations guide for newer Air Force contracting professionals — contract specialists, new contracting officers, and anyone learning how Air Force buying actually works. It explains the *why* behind the rules, not just the rule numbers.

What this guide is

- A plain-language tour of the core concepts you use every week.
- Visual — flowcharts, tables, and decision ladders so the structure sticks.
- Practical — every concept is tied to an Air Force example or scenario.
- A **starting map**, not the final authority. The regulation always wins.

What this guide is not

- Not a substitute for the RFO, R-DFARS, DoD/DAF policy, or your local guidance.
- Not legal advice — when in doubt, your **Judge Advocate (JA)** is your friend.
- Not the warrant-board study guide. That deeper, verbatim, board-focused volume is **Volume 2**.

⚠ REFERENCE CURRENCY — THE MOST IMPORTANT CAVEAT IN THIS BOOK

Federal acquisition rules are being rewritten *right now*. The **Revolutionary FAR Overhaul (RFO)**, launched by Executive Order 14275 (April 2025), is replacing the legacy FAR — and DoD's DFARS is being reissued in parallel as the **R-DFARS** — part-by-part through *class deviations* and formal rulemaking. Dollar thresholds also jumped on **1 October 2025**; more statutory changes landed in mid-2026 (e.g., DoD's certified cost-or-pricing-data threshold — Section 11); and between July and October 2026 DoD revised 20 R-DFARS parts, **renumbering many sections**.

Never quote a threshold or citation from memory — or from an old guide — without confirming it. This volume references the **RFO and R-DFARS**, not the retired FAR/DFARS/DAFFARS, and every number and citation was checked against the official text **as of October 2026** — but treat them as a snapshot. Cross-reference everything against the **RFO, R-DFARS, and current R-DFARS class deviations** (Acquisition.gov/far-overhaul and the DoD DARS pages), the **Federal Register**, and — for DAF-specific procedures — the CAC-restricted **DAF Contracting Compass**.

Most sections give you a short **plain-language explanation**, a **visual or table**, a **Field Example**, and a **Common Pitfall**; Part V then walks you through full scenarios the way a mentor would.

BY THE END OF VOLUME 1 YOU'LL BE ABLE TO…

- Explain who can legally bind the Government — and spot an unauthorized commitment.
- Name the right rulebook (RFO / R-DFARS) and verify a reference instead of guessing.
- Apply the Time-Purpose-Amount test to a funding question.
- Pick the right buying method and contract type for a given need.
- Recognize when competition is required and when an exception is justified.
- Protect procurement integrity and flag a conflict of interest early.
- Tell an in-scope modification from new work that needs competition.

Current as of October 2026 (v1.3). Thresholds and citations verified against the RFO, R-DFARS, DFARS PGI and DoW FMR text in effect on 19 October 2026.

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START HERE · THE PLAYBOOK

When You're Handed a Requirement: A Starter Playbook

A new requirement just landed on your desk. What now? This is the seven-step loop you'll run on almost every buy — it's the spine that ties this whole guide together. You won't do all of it alone, and you'll get faster with reps, but the *order* rarely changes. Each step points to the section that goes deeper.



The seven-step loop. You rarely skip a step — you just spend more or less time on each depending on the dollar value and risk.

1. **Understand the need.** What exactly is being bought, how much, by when, and who's the customer (the requiring activity)? Push for a clear requirement and an **Independent Government Cost Estimate (IGCE)** — you can't run a buy off a vague ask.
   → Section 7

2. **Confirm the money.** Is it funded — the *right color* and the *right year*? Run **Time · Purpose · Amount**. No funds, no award — so check this early, with your FM.
   → Section 5

3. **Look at the market.** Who can do this? Is it a **commercial product or service**? Can a **small business** do it? Market research drives nearly every decision that follows.
   → Section 7

4. **Pick the path.** The dollar value points you to a **buying method** (micro-purchase, simplified procedures, or a full action), and you decide whether **competition** is required or a justified exception applies.
   → Sections 8 & 9

5. **Choose the contract type.** Match *who bears the cost risk* to how well-defined the work is — firm-fixed-price when it's clear, cost-type when it's not.
   → Section 10

6. **Get to award — and document the why.** Solicit, evaluate, and award; price has to be fair and reasonable, and **the file tells the story of every decision** so it survives an auditor or a protest.
   → Sections 11 & 12

7. **Manage it and close out.** The COR watches performance; you handle modifications, options, and closeout — and you fix an unauthorized commitment the right way if one happens.
   → Section 15

THE NEW-1102 GOLDEN RULE

Ask, document, and loop people in early. You're a *business advisor, not a paperwork processor* — your value is the judgment between what the customer wants and an action you can defend. Nobody expects you to know it all on day one; they expect you to know *who to ask* and *where to look it up*. When in doubt, your **CO, JA, and FM** are your friends (and Appendix F shows who does what).

⚠ THE TRAP THAT CATCHES NEW SPECIALISTS

Skipping straight to "just put it on contract" to go fast. The customer hands you a *conclusion* ("only this vendor can do it," "use this money before it expires," "just add it to the existing contract") — your job is to **test it**, not type it up. Walking the seven steps *is* the fast way, because it's the way that doesn't get unwound later.

THE PLAYBOOK, WALKED ONCE — A $180K TOOL-CONTROL BUY

The maintenance group asks for "tool-control cabinets for three shops, before the inspection cycle." Here's the whole loop on one small, real-shaped buy:

1 · Need. Sit with the customer: 14 cabinets, keyed-alike, sized to existing bays — and get an IGCE (~$180K from catalog pricing). "Before the inspection" becomes a real date.
2 · Money. FM confirms current-year O&M — right purpose (day-to-day equipment), right year. Funded? Yes, certified on the requirement.
3 · Market. Quick research: several vendors sell these commercially, and at least two are small businesses. That one hour just decided most of what follows.
4 · Path. $180K sits between the micro-purchase threshold ($15K) and the SAT ($350K) → simplified acquisition (commercial, so RFO 12.201-1 simplified procedures), *reserved for small business.* Competition: solicit quotes — no exception needed, none claimed.
5 · Type. Commercial product, well-defined, catalog-priced → firm-fixed-price. The contractor bears the cost risk because the work is certain enough to price.
6 · Award & the why. Three quotes come back; low quote is 8% under the IGCE from a responsible small business (SAM checked). The file gets one tight page: quotes compared, price found fair and reasonable, award basis stated.
7 · Manage. Delivery accepted against the order, invoice paid, done — and when the shop chief later asks the vendor directly for "two more cabinets," you catch it: that's new work, back through the loop (no unauthorized commitment occurred — the vendor knew to route the request to you instead of performing).

PART I

Orientation

Who you are, who you work with, and where your authority comes from.

SECTION 1

What Air Force Contracting Is

Contracting is how the Air Force legally turns appropriated dollars into the goods, services, and capabilities Airmen and Guardians need — from jet-engine parts to base custodial services to billion-dollar weapon systems.

A **contracting officer (CO)** is the *only* person with legal authority to obligate the Government on a contract. Engineers define what to build, program managers run the schedule and budget, and users state the need — but none of them can bind the Government to spend money. That power is delegated, in writing, to the CO through a **warrant** (Section 3). This is the single most important idea in the entire field.

You are a business advisor, not a paperwork processor

New professionals often think the job is "running the package." It isn't. Your real value is **business judgment**: choosing the right strategy, protecting competition, getting a fair price, managing risk, and keeping the action defensible if it's ever challenged. The paperwork documents that judgment — it doesn't replace it.

Stewardship
You spend the public's money. Every action should survive an auditor, an Inspector General, and a protest. "Because the program wanted it" is never a complete answer.

Mission
Speed matters. A perfect contract that arrives after the need has passed has failed. Balance compliance with getting capability to the warfighter on time.

Integrity
Competition and fairness aren't bureaucracy — they are how the Government gets the best value and keeps the public's trust. Guard them.

Documentation
If it isn't in the file, it didn't happen. The contract file tells the story of *why* you made each decision.

FIELD EXAMPLE

A maintenance squadron needs a specialized hydraulic test stand "as soon as possible." The requiring activity sends you a brand name and one vendor. Your job isn't to type up that order — it's to ask: Is this truly the only source? Is the price fair? Is it commercial? Could a short market check find competition without blowing the schedule? That questioning *is* the contracting job.

QUICK CHECK

1. Who is the only person who can legally obligate the Government on a contract?
   → The contracting officer (CO), through a warrant.
2. Your real value as a 1102 isn't running the package — it's what?
   → Business judgment — sound, defensible decisions.

SECTION 2

The Players: Roles & Who Does What

You almost never work alone. Knowing each teammate's lane — and its limits — keeps you out of trouble and speeds every action.

Core players on a typical Air Force contract action

Role	What they do & their limits
Contracting Officer (CO / PCO)	Holds the warrant; the only one who can sign/obligate the Government. The *Procuring CO (PCO)* awards and manages the contract.
Administrative CO (ACO)	Often at DCMA; handles post-award administration (payments, mods, monitoring) for assigned contracts.
Contract Specialist (1102)	Builds the action under the CO — drafts the strategy, solicitation, analysis, and file. Likely *your* role starting out. No authority to bind the Government.
Contracting Officer's Representative (COR)	The CO's eyes on technical performance. **Cannot** change price, scope, terms, or direct new work. A COR who "tells the contractor to start" creates an unauthorized commitment (Section 3).
Program Manager / Requiring Activity	Owns the requirement, the money, and the schedule. Tells you *what* is needed and *why* — but not *how* to contract for it.
Judge Advocate (JA / Legal)	Legal review and your partner on anything novel, high-dollar, or contested (J&As, protests, claims, integrity issues). Loop them in *early*.
Financial Management (FM / Comptroller)	Certifies funds are available and the right "color" of money. No funds, no award.
Small Business Professional	Reviews actions for small-business opportunity; coordinates with the SBA.
DCMA / DCAA	*Defense Contract Management Agency* administers contracts and verifies systems; *Defense Contract Audit Agency* audits contractor cost/pricing data and rates.
GSA	Runs government-wide schedules and supply sources you can order from instead of building a contract from scratch.

THE GOLDEN RULE OF CHANNELS

All contractual direction flows **through the CO**. Technical folks talk technically; only the CO changes the deal. When a contractor says "the COR told us to...," that's a flag to stop and check authority before anyone spends another dollar.

QUICK CHECK

1. Can a COR change a contract's price, scope, or terms?
   → No — only the CO can.
2. Who certifies that funds are available?
   → Financial Management (FM / Comptroller).

SECTION 3

Authority, Warrants & Unauthorized Commitments

Authority is the foundation under every contract. Get this wrong and even a well-intentioned deal isn't binding on the Government.

Three kinds of authority

Express authority
Written and explicit — the CO's warrant. This is the real, reliable authority.

Implied authority
Reasonably flows from express authority (things a CO must do to carry out the warrant). Still valid.

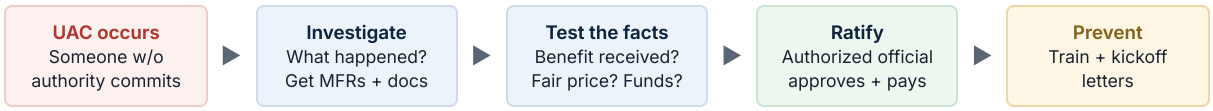
Apparent authority
Someone *acts* as if authorized but isn't. **Not binding on the Government.** A contractor cannot rely on it — and neither can you.

The warrant

A warrant (Standard Form 1402, Certificate of Appointment — RFO 1.403-2) is the written delegation that makes someone a CO, usually up to a stated dollar limit and type of action. An **unlimited warrant** removes the dollar ceiling — which is exactly why it demands deep experience and is the subject of Volume 2. DoD adds statutory qualification standards for COs above the SAT (R-DFARS 201.403-70). As a new professional, you'll typically support warranted COs before holding your own warrant.

Unauthorized commitments & ratification

An **unauthorized commitment (UAC)** happens when someone *without* contract authority makes the contractor think it should perform — a COR says "go ahead," a PM verbally approves a buy. The Government isn't legally bound... but the contractor performed in good faith, so there's a problem to fix. The fix is **ratification**: an official with actual authority approves the commitment after the fact (RFO 1.405).



The unauthorized-commitment to ratification path. Ratification is the exception, not a routine tool.

Ratification requires that all of these be true (RFO 1.405(c)): the Government received a benefit; the ratifying official has authority to enter the commitment; the action would have been proper if a CO had done it; the reviewing CO finds the price fair and reasonable; the CO recommends payment and legal concurs; and funds were available then and are available now. Under RFO 1.405(b) the **head of the contracting activity** may ratify, and that authority may be delegated **no lower than the chief of the contracting office**. DoD/DAF policy sets the actual delegations — *look them up, don't memorize a level from an old guide.*

COMMON PITFALL

Treating ratification as a convenient back-door for "we forgot to put it on contract." It is a documented exception with a real investigation, and repeated UACs in a unit signal a training problem. Prevent them up front: hold a **kickoff meeting**, send the contractor a **letter naming who can give direction**, and train CORs and PMs on the limits of their role.

QUICK CHECK

1. What document makes someone a CO?
   → A written warrant (SF 1402).
2. Someone without authority tells a contractor to start work — what is that, and is the Government bound?
   → An unauthorized commitment (UAC); not bound unless it's ratified.

PART II

The Framework

The rulebook, the money, and the lifecycle every action moves through.

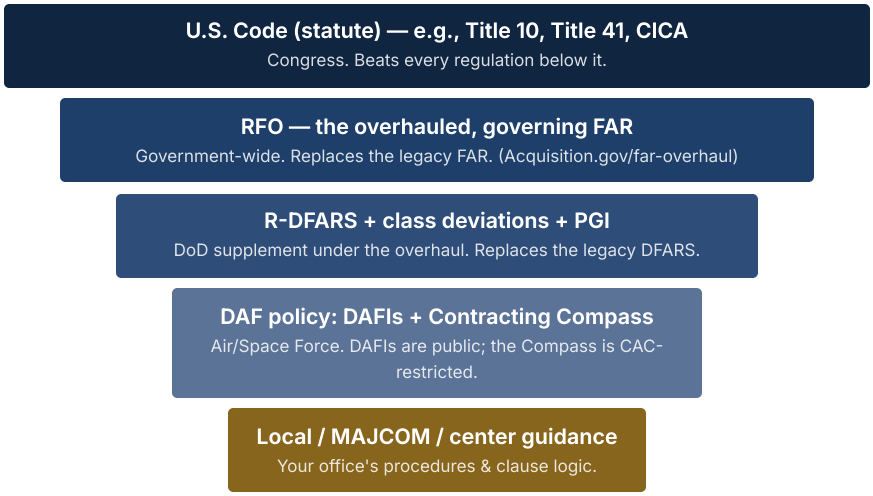
SECTION 4

The Rulebook: The RFO, R-DFARS & DAF Policy

There's a hierarchy of rules, each layering on the one above it. Knowing the stack tells you where to look — and which rule wins when they seem to conflict. We are now in the middle of a once-in-a-generation rewrite, so **this guide references the new framework**, not the legacy one.

WHICH RULES THIS GUIDE USES

The legacy **FAR**, **DFARS**, and **DAFFARS** are being retired and should no longer be your go-to citations. Cross-reference everything against the **RFO** (Revolutionary FAR Overhaul — the streamlined, governing FAR), the **R-DFARS** (the revised DFARS), and the current **R-DFARS class deviations**. The Department of the Air Force's authoritative day-to-day resource is the **DAF Contracting Compass** — but it is CAC-restricted, so this guide doesn't reproduce it; confirm DAF-specific procedures there.



Each layer can add to — but not contradict — the layer above. When in conflict, the higher (broader) authority controls. The legacy FAR/DFARS/DAFFARS are superseded by the RFO and R-DFARS.

⚠ THE REVOLUTIONARY FAR OVERHAUL (RFO) & R-DFARS — WHY YOUR CITATIONS ARE MOVING

Under **Executive Order 14275 (April 2025)**, the FAR Council is carrying out the largest acquisition-rules rewrite in 40 years. It rolls out in two waves — and DoD's DFARS is being overhauled in parallel as the **R-DFARS**:

- **Model deviation text (RFO)** is published part-by-part at **Acquisition.gov/far-overhaul**; agencies issue **class deviations** that COs follow now. DoD's **R-DFARS class deviations** took effect **1 February 2026**, relocating procedures to the DFARS PGI — and DoD keeps revising them: **20 R-DFARS parts were reissued between July and October 2026**, many with renumbered sections (e.g., the CO-qualification text is now 201.403-70).
- **Formal rulemaking** to permanently codify the RFO and R-DFARS is still working through the Federal Register — until it finishes, the class deviations are what you follow. Check the Federal Register for the current status.

Part numbers are largely kept, but content is being moved, renumbered, and trimmed. For example, the seven exceptions to full-and-open competition (historically the legacy *6.302-1...-7*) are now **RFO 6.103-1 through 6.103-7**, and security content moved to a new **Part 40**. So the *concept* may be stable while the *exact paragraph* has shifted. **Always confirm the live RFO/R-DFARS text and whether a class deviation applies to your action.**

Where to actually look it up

You need...	Go to
The governing rule (overhauled FAR)	**RFO** — Acquisition.gov/far-overhaul (model deviation text & part summaries)
The DoD supplement	**R-DFARS & R-DFARS class deviations** — DoD DARS / Defense Pricing & Contracting pages
Whether a deviation applies to your action	Current **R-DFARS class deviation** list & your local policy office
DAF-specific procedures	**DAF Contracting Compass** (CAC-restricted — not reproduced here)
Air Force services / lifecycle policy	**DAFI 63-138 & DAFI 63-101/20-101** (public)
The newest statutory changes	The annual **NDAA** & the **Federal Register**

Note: This guide references the **RFO, R-DFARS, and current R-DFARS class deviations** — not the legacy FAR/DFARS/DAFFARS, which are being retired. It also avoids CAC-restricted material: the **DAF Contracting Compass** is the authoritative DAF resource but requires CAC access, so confirm DAF-specific procedures there. Where your office's internal guidance differs, it governs your action — follow it and confirm with your chain.

QUICK CHECK

1. What's the governing rulebook now, and what's being retired?
   → The RFO and R-DFARS; the legacy FAR / DFARS / DAFFARS.
2. Where do you confirm a current threshold or rule?
   → acquisition.gov/far-overhaul — never quote from memory.

SECTION 5

Colors of Money & Fiscal Law Basics

You can run a flawless competition and still break the law if you use the wrong money. Appropriated funds come in "colors," each with rules on *what* they buy and *how long* they last.

The T-P-A test — apply it to every obligation

Time
Funds are only available for a limited window (their *period of availability*). You must obligate them for a **bona fide need** of that period.

Purpose
Funds may be used *only* for the purpose Congress appropriated them for (the **Purpose Statute**). O&M money can't buy a production aircraft.

Amount
You may not obligate more than is available, or before it's available — that's the **Anti-Deficiency Act (ADA)**. ADA violations are serious and reportable.

Common DoD appropriations ("colors of money") — typical uses and life (DoW FMR, Vol. 3, Sec. 12)

Appropriation	Buys	Obligation life*
O&M (3400)	Day-to-day operations, sustainment, most services, supplies used now	1 year
RDT&E (3600)	Research, development, test & evaluation	2 years
Procurement (e.g., 3010 / 3080)	Production & modification of end items (aircraft, other major systems)	3 years
MILCON	Major construction	5 years

*Period for new obligations. After that, funds **expire** (still pay/adjust existing obligations for 5 years) and then **cancel** (gone for any purpose). Confirm exact rules and any current exceptions before you act.

Severable vs. non-severable services — the bona-fide-need wrinkle

Severable services give a benefit as they're performed (e.g., monthly grounds maintenance). With annual money, a severable service contract generally **can't exceed 12 months**, but it may cross fiscal years.

Non-severable services produce a single end product (e.g., one study, one engine overhaul). They are a bona fide need of the year you award, must be **fully funded** up front, and may run longer than a year.

FIELD EXAMPLE

In September, a unit wants to use this year's expiring O&M to buy 12 months of help-desk support starting in October. Severable services + annual funds = generally fine to obligate now for a period that crosses into the new year, capped near 12 months. But if they tried to use that same O&M to buy a production spare governed by procurement funds, that's a **Purpose** problem — stop and call FM/JA.

REFERENCE

Fiscal law lives largely in statute and the GAO "Red Book" (Principles of Federal Appropriations Law), plus the **DoW Financial Management Regulation (FMR), DoW 7000.14-R** — reissued in September 2026 with most volumes reorganized into numbered sections (and Volumes 2A/2B, 6A/6B, and 11A/11B each merged into one). Cite it by volume and section, not the old chapter numbers. Your **FM/Comptroller and JA** are the authoritative voices — when a fiscal question appears, ask early.

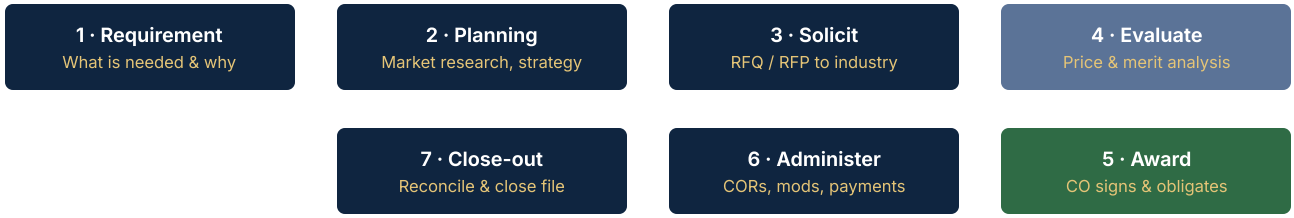
QUICK CHECK

1. Name the three-part fiscal test.
   → Time · Purpose · Amount (TPA).
2. Can you use this year's money for next year's need?
   → Generally no — the bona fide need rule.

SECTION 6

The Acquisition Lifecycle

Almost every action — a $9,000 buy or a $90M system — moves through the same arc. Learn the arc and you'll always know "what comes next."



The seven-phase arc (1→4 across the top, then 5→7 back along the bottom). The bottom band never stops — it applies at every phase.

Each phase has its own sections in this guide: planning & market research (Section 7), competition (8), choosing a buying method (9) and contract type (10), pricing (11), and source selection (12); then administration after award (15). Keep the arc in your head and the details will have somewhere to attach.

QUICK CHECK

1. What runs underneath every phase of the lifecycle?
   → Competition & fairness, fiscal law (T-P-A), fair & reasonable pricing, and documentation in the file.
2. If it isn't in the file...
   → ...it didn't happen. The file tells the story of every decision.

PART III

Getting to Award

From "we need something" to a signed, defensible contract.

SECTION 7

Requirements & Market Research

Good contracting starts *before* any solicitation, with two questions: exactly what do we need, and what can the market actually provide?

A clear requirement

The requiring activity describes the need in a **requirements document** — often a *Statement of Work (SOW)*, *Performance Work Statement (PWS)*, or *Statement of Objectives (SOO)* for services, or a spec/salient characteristics for supplies. Your job is to pressure-test it: Is it clear? Is it unnecessarily restrictive (e.g., a brand name that locks out competition)? Is it measurable?

Market research — the foundation under every later decision

Market research (RFO Part 10) is how you learn the market before you commit. It answers questions that drive the *entire* strategy:

- Is this a **commercial** product or service? (If so, streamlined rules apply — Section 9.)
- Can **small businesses** meet the need? (Drives set-aside decisions — Section 14.)
- Is there real **competition**, or genuinely one source?
- How should the requirement be defined so industry can actually bid it?

Common research methods	Good for
Sources Sought / Request for Information (RFI)	Finding who can do the work & gauging small-business interest
Internet / catalog / price searches	Commerciality & rough price reality
Reviewing prior buys (e.g., in FPDS)	What was paid before, by whom
Industry Day / one-on-ones	Complex needs; shaping the requirement

WHY THIS MATTERS SO MUCH

Nearly every significant decision you'll defend later — set-aside or not, commercial or not, sole-source or competitive, the price you call fair — **rests on market research**. Skipping it isn't just sloppy; it removes the foundation under your whole file. Match the depth of research to the dollar value and complexity, and **document what you found**.

COMMON PITFALL

Accepting a brand-name, one-vendor package at face value because "engineering said so." A brand name needs justification. Often a quick sources-sought reveals two or three capable firms — turning a risky sole-source into a clean competition.

QUICK CHECK

1. What does market research tell you?
   → Who can perform, whether it's commercial, whether small businesses can compete, and a realistic price.
2. What's the Government's own price estimate called?
   → The IGCE (Independent Government Cost Estimate).

SECTION 8

Competition & CICA

Competition is the default, and it's the law. The **Competition in Contracting Act (CICA)** requires **full and open competition** for most actions over the Simplified Acquisition Threshold (**SAT** — currently $350K) — unless a specific, documented exception applies.

Why the Government insists on it: competition drives prices down, improves quality, broadens the industrial base, and protects the integrity of the process. "We've always used this vendor" is not a reason to skip it.



The competition decision in one picture. The right-hand path is the exception and must be justified.

The three CICA "buckets"

Full & open competition

All responsible sources may compete. The default.

Full & open after exclusion of sources

You narrow the field for a valid reason — most commonly a **small-business set-aside**.

Other than full & open competition

The least-competitive route. Allowed only under one of **seven exceptions**, documented in a **Justification & Approval (J&A)**.

The seven exceptions (concept-level)

You don't need these verbatim yet — but recognize them: (1) only one responsible source; (2) unusual & compelling urgency; (3) industrial mobilization / R&D capability; (4) international agreement; (5) authorized or required by statute; (6) national security; (7) public interest. Each has its own documentation and approval rules. Under the RFO they are **6.103-1 through 6.103-7**, and the J&A content and approval rules are at **RFO 6.104**.

⚠ CURRENCY CHECK — NEW CITATIONS AND NEW DOD APPROVAL TIERS

The exceptions historically numbered *FAR 6.302-1 through -7* are now **RFO 6.103-1 through 6.103-7**. Who approves the J&A depends on the dollar value — and **DoD now uses its own table**. Under **R-DFARS 206.104-71, Table 206-1** (in lieu of RFO 6.104-2): **$10M or below** — the contracting officer (by certification); **over $10M to $100M** — the competition advocate (not delegable); **over $100M to $500M** — the head of the contracting activity; **over $500M** — the senior procurement executive. Civilian agencies still use the RFO 6.104-2 tiers (CO approval only to $900K). Confirm the live text and any class deviation before you cite it in a J&A.

FIELD EXAMPLE

A program insists only "Vendor X" can supply a flight-critical part. Before writing a sole-source J&A under exception (1), you run a sources-sought notice. Two other firms respond that they can build to the same spec. Competition is back on the table — and you just saved the file from a likely protest.

QUICK CHECK

1. What's the default for buys over the SAT ($350K)?
   → Full and open competition.
2. If you can't compete it, what do you need?
   → A justification (J&A) under a recognized exception.

SECTION 9

Buying Methods by Dollar Value

Dollar value (and whether the item is commercial) steers you to the right buying method. More money generally means more process — and more protection for the Government.

≤ $15K — Micro-purchase
Usually the Government Purchase Card (GPC). RFO subpart 12.4.

$15K – $350K — Simplified procedures (SAP)
Purchase orders / BPAs. Commercial: RFO 12.201-1; noncommercial: RFO Part 13. Reserved for small business under the Rule of Two.

> $350K (over SAT) — Full RFO procedures
RFO Part 15 negotiation / source selection, or sealed bidding. Full CICA & J&A.

Cross-cutting — Commercial products & services (RFO Part 12)
If commercial, streamlined commercial terms at most dollar levels — fewer clauses, market pricing.

Thresholds shown reflect the 1 Oct 2025 inflation adjustment (RFO 2.101 definitions). Always confirm the current figure in the RFO/R-DFARS (see Appendix A).

The methods in plain terms

Micro-purchase (≤ $15K)

The fast lane, usually on the GPC (RFO subpart 12.4). No formal competition documentation, but spread purchases fairly among capable sources. Lower limits apply to construction ($2,000) and covered services ($2,500).

Simplified Acquisition Procedures — SAP ($15K–$350K)

Reduced paperwork to speed routine buys and create small-business opportunity. Tools: **purchase orders** and **blanket purchase agreements (BPAs)**. Under the RFO, simplified procedures for commercial buys sit in Part 12 (12.201-1) and for noncommercial buys in Part 13. Above the micro-purchase threshold, an acquisition must be **set aside for small business** when the **Rule of Two** is met — a reasonable expectation of offers from two or more responsible small businesses at fair market prices (RFO 19.104-1). That set-aside rule applies at *every* dollar level above the MPT, not just the SAP band (Section 14).

Commercial buying (RFO Part 12)

When the market already sells it, the Government rides commercial terms: simpler clauses, preference for firm-fixed-price, market-based pricing, fewer Government-unique requirements. Determining commerciality early can save enormous time.

Negotiated procurement / source selection (over SAT)

The full **RFO Part 15** process for larger or more complex needs — covered in Section 12.

⚠ CURRENCY CHECK

The **$15K micro-purchase** and **$350K SAT** took effect **1 October 2025** and are the figures in the RFO 2.101 definitions. Contingency/emergency operations have *higher* thresholds. Confirm the figure that applies to your specific situation against the current RFO/R-DFARS text before you rely on it.

COMMON PITFALL — GOVERNMENT PURCHASE CARD (GPC) DO'S & DON'TS

The GPC is where many new professionals start — and where most violations happen. The big ones:

- **Never split a purchase** to stay under the micro-purchase threshold or your single-purchase limit. Two $9K buys to dodge a $15K limit is a "split purchase" — a finding.
- **Stay within your delegated limits** (single-purchase and monthly) and buy only what your delegation allows.
- **No prohibited items** (e.g., items requiring special handling/approval); check **mandatory sources** first where required.
- **Reconcile and document** every transaction — keep receipts and your log current for your approving official.

HOW A CONTRACT IS PHYSICALLY BUILT — CLINS

Whatever the method, a contract is organized into **Contract Line Item Numbers (CLINs)**. Each CLIN is a discrete thing being bought — a supply, a service period, an option — with its own **description, quantity, price, and funding**. CLINs are how the contract gets priced, funded, invoiced, and (later) modified, so a clean CLIN structure up front saves you pain at every later phase.

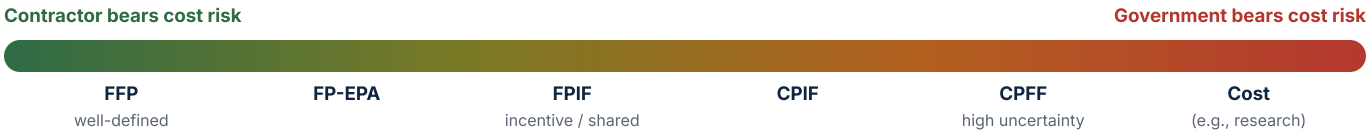
QUICK CHECK

1. Micro-purchase threshold?
   → $15,000.
2. Simplified Acquisition Threshold (SAT)?
   → $350,000.

SECTION 10

Contract Types & Risk

Contract type is really a question of **who carries the cost risk** — the contractor or the Government — and how hard the contractor is pushed to perform efficiently.



Goal (RFO Part 16): put risk on the party best able to manage it & give the contractor the greatest incentive for efficiency.

The contract-type spectrum, from contractor-risk (left) to Government-risk (right). T&M sits off to the side as a last resort.

WHAT YOU ACTUALLY NEED TO REMEMBER

Don't memorize all six abbreviations on day one. Learn the **two families** (fixed-price vs. cost-reimbursement) and **where the risk sits** on the bar. The exact incentive mechanics (FPIF/CPIF formulas, the Point of Total Assumption, etc.) are Volume 2 depth — the spectrum *position* is the load-bearing idea here.

And know the default: under the revised RFO Part 16, **fixed-price types are the default and preferred contract types** (RFO 16.102(b)). Large non-fixed-price (or FFP level-of-effort) contracts now require a written justification approved at the *agency-head* level — for DoD, at or above **$100M** (RFO 16.104, implementing E.O. 14402 of 30 April 2026).

Fixed-price family

FFP (firm-fixed-price): one price, contractor owns all cost risk. Best when the requirement is well-defined — commercial products, production.
FPIF: a target cost/profit with a formula and a ceiling that rewards cost control.
FP-EPA: a fixed price that can adjust to a named economic index over long periods.

Cost-reimbursement family

The Government pays **allowable, allocable, reasonable** costs; used when the work is too uncertain to price firmly (R&D, complex development). **Cost** (a cost contract) = costs paid with no fee, for the most uncertain work; **CPFF** = fixed fee regardless of cost; **CPIF** = fee flexes with cost performance. All cost-type contracts require an approved contractor accounting system and higher-level approval.

Time-and-Materials (T&M) — the careful exception

T&M pays fixed hourly labor rates plus materials at cost, with a not-to-exceed ceiling. Use it **only** when you genuinely can't estimate the extent of the work, because it gives the contractor little incentive to control cost. It requires a **Determination & Findings (D&F)** and active surveillance.

FIELD EXAMPLE

Renewing 500 commercial software licenses? **FFP** — the price is knowable and risk is low. Developing a brand-new sensor where nobody knows the hours? A **cost-type** contract is honest about the uncertainty; forcing FFP would just buy you a padded price or a contractor that cuts corners.

COMMON PITFALL

Reaching for T&M because it's "flexible." Flexible for the contractor often means open-ended for the Government. Exhaust fixed-price and cost-type options first, and if you must use T&M, write a tight ceiling and watch it closely.

QUICK CHECK

1. On a firm-fixed-price contract, who bears the cost risk?
   → The contractor.
2. When is a cost-type contract appropriate?
   → When the work is too uncertain to price firmly (e.g., R&D).

SECTION 11

Pricing: Getting to Fair & Reasonable

Before you obligate a dollar, you must conclude — and document — that the price is **fair and reasonable**. How you get there depends on how much competition and data you have.

Price analysis vs. cost analysis

Technique	What it looks at	When
Price analysis	The bottom-line price, without digging into cost elements. Best technique: compare competing offers. Sole source: compare to prior buys, similar items, catalog/market prices, or the IGCE.	**Always** — at minimum.
Cost analysis	Each cost element — labor hours & rates, materials, overhead, G&A (general & administrative), profit/fee — evaluated individually.	When competition is weak and you need certified cost or pricing data, or to judge realism.

Two tools you'll meet immediately: the **IGCE** (Independent Government Cost Estimate — your own pre-negotiation estimate of what the work should cost) and **reasonableness vs. realism** (reasonableness asks "is the price too *high*?"; realism, used mainly on competitive cost-type work, asks "is it unrealistically *low* such that they'll overrun?").

Truthful (certified) cost or pricing data

When competition can't establish a fair price and no other exception applies, the **Truthful Cost or Pricing Data statute (10 U.S.C. §§3701–3708** for DoD; 41 U.S.C. chapter 35 for civilian agencies) — still widely called **TINA**, the legacy "Truth in Negotiations Act" — requires the contractor to submit and *certify* cost or pricing data so you negotiate from the same facts. Common exceptions (RFO 15.403-2) include adequate **price competition**, **commercial** products/services, and prices set by law.

⚠ CURRENCY CHECK — DOD'S CERTIFIED-DATA THRESHOLD CHANGED MID-2026

For **DoD**, the certified-data threshold is **$10M for prime contracts awarded after 30 June 2026** (FY26 NDAA §1804; R-DFARS 215.403-3 (10 U.S.C. 3702)) — the same date and threshold apply to subcontracts under those primes. DoD prime contracts awarded on or before that date — and their modifications — keep the old **$2.5M** trigger. **Civilian agencies** still use **$2.5M** (RFO 15.403-3). Know which figure governs your action. For a *modification*, the trigger value is the sum of the absolute values of increases and decreases — a mod adding $1M and deleting $1M is a $2M pricing action.

REFERENCE

Pricing support partners: **DCAA** (audits cost/pricing data), **DCMA** (field pricing, forward-pricing rates), and your local pricing shop. Bring them in at the dollar levels and situations current policy specifies.

QUICK CHECK

1. What's the goal of price analysis, and is it always required?
   → A fair and reasonable price — and yes, always.
2. Mod adds $1M and deletes $1M — what value counts for the certified-data threshold?
   → $2M (absolute value of each, not the net).

SECTION 12

Source Selection Basics

When you compete a larger requirement, **source selection** is how you pick the offeror that gives the best value. The mechanics protect fairness — and protect you in a protest.

The best-value continuum

LPTA
Lowest Price Technically Acceptable. Award to the cheapest offer that meets clearly-defined, pass/fail requirements. Best when risk is low and "acceptable" is easy to define.

Tradeoff
Pay more for a better solution when it's worth it. Used when requirements are less definitive and a superior technical/past-performance offer justifies a higher price. More flexible, more work.

Sections L and M — the heart of a solicitation

Two parts of the solicitation must line up perfectly:

- **Section L** tells offerors *how to prepare and submit* proposals.
- **Section M** tells them *how you'll evaluate* — the factors and their relative importance. **Cost/price and quality are mandatory factors** in every competitive source selection (RFO 15.104).

If L asks for something M never evaluates (or vice-versa), you've created a flaw a protester will find. Traceability between L and M is everything.

Exchanges with industry — know the difference

Type	What's allowed
Clarifications	Resolve minor/clerical issues — may even address a perceived deficiency or weakness. *No* proposal revisions. Allowed any time after proposals arrive through award (RFO 15.202(a)(2)).
Negotiations	After the competitive range is set — must address each offeror's deficiencies and significant weaknesses. Offerors *may* revise (RFO 15.204-2). Formerly called "discussions."

Debriefings

Losing (and sometimes excluded) offerors can request a **debriefing** within the required window. A timely, complete, well-documented debrief explains the decision, shows the process was fair, and frequently *prevents* a protest. Treat it as risk management, not a chore.

COMMON PITFALL

"Buried" weaknesses. If negotiations don't actually address a significant weakness or deficiency with an offeror in the competitive range, the award is vulnerable. Be fair and be clear with everyone still in the running.

QUICK CHECK

1. Section L vs. Section M?
   → L = how to submit; M = how you'll be evaluated.
2. What is "best value"?
   → The best mix of price and non-price factors for the Government.

SECTION 13

Ethics & Procurement Integrity

Integrity isn't a poster on the wall — it's enforceable law, and it's the fastest way a new professional (or a whole office) gets into real trouble. You handle the public's money and industry's most sensitive information; guard both.

Standards of conduct — the everyday rules

As a public servant you follow the Government's **standards of ethical conduct** (RFO 3.101). The ones you'll meet first:

- **Gifts & gratuities:** as a general rule, don't accept gifts, meals, or favors from a contractor or anyone doing business with your office. The narrow exceptions are exactly that — narrow. When in doubt, decline and ask.
- **Impartiality & financial interest:** don't work an action where you (or family) have a financial stake, and avoid even the *appearance* of favoritism.
- **Post-Government employment ("revolving door"):** talking to industry about a job while you have official dealings with them creates a serious conflict — disclose and recuse.

The Procurement Integrity Act (PIA)

The PIA (RFO 3.104) protects two kinds of information during a competition. Disclosing — or improperly obtaining — either is a federal violation:

Source Selection Information
Government information that could give an offeror an unfair edge — proposed rankings, the source-selection plan, evaluation results, competitive-range lists, the Government estimate.

Contractor Bid & Proposal Information
An offeror's proprietary pricing, costs, and proposal contents. It belongs to *them*; you safeguard it and never share it with a competitor.

The **CO is the conduit** for this information. Mark it, control distribution, and never email a proposal to the wrong party. A PIA problem can void an award, disqualify an offeror, and carry civil or criminal penalties — notify your **JA** immediately if one is even suspected.

Organizational Conflicts of Interest (OCI)

An **OCI** (RFO subpart 9.5) arises when a contractor's other work could bias its judgment or give it an unfair advantage. Spot it *early* — before solicitation — and **avoid, neutralize, or mitigate** it. Three classic types:

Type	What it looks like
Unequal access to information	A contractor has nonpublic info (e.g., a competitor's data) that gives it an edge.
Impaired objectivity	A contractor would evaluate or assess its own work — it can't be neutral.
Biased ground rules	A contractor helped write the requirement/spec it now wants to bid on.

FIELD EXAMPLE

An offeror's proposal lands in your inbox and you notice it was accidentally cc'd to a competitor. Stop. That's a potential PIA disclosure: preserve the evidence, do *not* forward anything, and call your JA and CO today. Quietly "handling it" yourself is how a recoverable mistake becomes a voided award.

COMMON PITFALL

Treating ethics as common sense you'll "just know." The rules on gifts, conflicts, and source-selection information are *specific* and counter-intuitive in places. Your **ethics counselor / JA** exists for exactly these questions — a 5-minute call beats an IG referral.

QUICK CHECK

1. What are you protecting during a source selection?
   → Source-selection information and contractor proposal data (the PIA).
2. You spot an integrity problem — first move?
   → Stop, and call your CO and JA (legal) immediately.

SECTION 14

Small Business Programs

Federal policy strongly favors giving small businesses a fair shot. Above the micro-purchase threshold, you must *consider* small business on essentially every action.

The Rule of Two

The core concept: if you reasonably expect offers from **at least two** capable small businesses at fair-market prices, you generally **set the acquisition aside** for small business (RFO 19.104-1). This is why market research matters — it's how you learn whether the Rule of Two is met. In DoD, the small business review is documented on the **DD Form 2579** (PGI 219.102).

The NAICS code drives everything

You assign a **NAICS code** describing the principal purpose of the buy. It determines the **size standard** — i.e., who counts as "small" for this action. Wrong code, wrong set-aside analysis.

Program	In one line
Small Business Set-Aside	Reserve the buy for small business when the Rule of Two is met.
8(a) Business Development	For firms in the SBA's development program (RFO 19.108; see currency note).
HUBZone	Firms in Historically Underutilized Business Zones; includes a price evaluation preference.

Program	In one line
SDVOSB	Service-Disabled Veteran-Owned Small Business.
WOSB / EDWOSB	Women-Owned (and Economically Disadvantaged Women-Owned) Small Business.

⚠ **CURRENCY CHECK — 8(A) IS IN FLUX**

The SBA's 8(a) program changed substantially in 2025–2026 (a shift to strictly race-neutral eligibility following litigation, with many participants affected). **Verify a firm's current 8(a) eligibility** and the current program rules before relying on an 8(a) award. Coordinate with your Small Business Professional and SBA.

FIELD EXAMPLE

A $200K base-services buy. Your sources-sought yields four small businesses that have done this work elsewhere. Rule of Two is clearly met → you set it aside for small business. No exotic analysis needed; the research did the work.

QUICK CHECK

1. State the Rule of Two.
   → Set it aside if you expect two or more small businesses to compete at fair market prices.
2. What drives the small-business size standard?
   → The NAICS code you assign.

PART IV

After Award

Signing the contract is the middle of the story, not the end.

SECTION 15

Contract Administration: Mods, Options, Claims & Terminations

Once performance starts, your job shifts to keeping the contract on track, documenting changes correctly, and resolving disputes — all without quietly creating a new, un-competed contract.

Modifications & the scope question

Every change needs a **scope** check. The key question: *would the original competitors have reasonably anticipated this change at award?* If yes, it's likely **in scope** and you can modify. If no, it may be **out of scope** — new work that needs competition or a J&A.

Type of mod	What it is
Unilateral	Signed only by the CO — admin changes, in-scope change orders, exercising options, funding.
Bilateral (supplemental agreement)	Signed by both parties — preferred for any substantive change.
Constructive change	The Government acts in a way that changes the work *without* a formal mod — and may owe an equitable adjustment. Avoid creating these by accident.
Cardinal change	So far beyond scope it's effectively a breach. The Changes clause can't authorize it — it needs new competition or a J&A.

COMMON PITFALL — SCOPE CREEP

Each small change can be in scope on its own, yet the *cumulative* effect drifts the contract out of scope. When you evaluate change #20, compare the whole modified contract to the **original** award — not just to change #19.

Options

An **option** is the Government's unilateral right to buy more or extend, on terms priced and evaluated at award. Before exercising one, confirm the basics: price still fair, funds available, still the best way to meet a real need, contractor not excluded, performance satisfactory — and give written notice on time. Miss the notice date and the unilateral right may become a bilateral negotiation.

REAs & claims

Request for Equitable Adjustment (REA) — an *informal* request for more money/time after a change. No formal CO decision required; **no interest as an REA** (but if it converts to a claim, interest runs from when the CO receives the *claim*); proposal-prep and legal fees may be allowable. (On DoD contracts, certification kicks in above the SAT.)

Claim (Contract Disputes Act) — the *formal* path. In writing, with appeal rights; interest accrues; claims **exceeding $100,000** must be certified (RFO 33.205-2; clause 52.233-1). If an REA can't be resolved, it can become a claim. The CO issues a final decision with appeal rights.

Don't conflate the two certifications: the *REA certification* (on DoD contracts, above the SAT — R-DFARS 243.371 and clause 252.243-7002) and the *CDA claim certification* (above $100K) are different certifications at different dollar thresholds.

Terminations

The distinction that trips people up is simple once you anchor on it: **who's at fault drives what's owed.** Convenience is the Government's *choice* with no contractor fault, so the contractor is made whole. Default and cause are the contractor's *failure*, so the Government owes far less — and a cure notice usually comes first.

Termination for Convenience (T4C)

The Government's right to end a contract when it's in its best interest. The contractor is made whole for costs incurred plus reasonable profit on work done.

Termination for Default (T4D)

A remedy of *last resort* for the contractor's failure to perform on a *non-commercial* contract. Usually preceded by a **cure notice** (a chance to fix the problem) and involves significant legal coordination.

Termination for Cause

The *commercial-contract* equivalent of default — same idea (contractor failure), handled under commercial contract terms (52.212-4) rather than the default clause.

The three terminations at a glance — fault drives the remedy

Type	Who's at fault?	Notice first	What the contractor gets
Convenience (T4C)	No one — Government's choice / best interest	Termination notice	Costs incurred **+ reasonable profit** on work done (a negotiated settlement)
Default (T4D) non-commercial	Contractor failed to perform	**Cure notice** (chance to fix) in most cases	Paid only for accepted work; may owe **excess reprocurement costs**
For Cause commercial	Contractor failed to perform	Per the commercial contract terms	Commercial remedies — like default, the contractor is *not* made whole

THE ADMINISTRATION MINDSET

Most administration problems are really *authority* and *documentation* problems wearing a costume. Keep direction flowing through the CO, write down every change and the reason for it, and check scope before you modify. Do that and the hard cases get a lot easier.

QUICK CHECK

1. Who watches contractor performance day-to-day?
   → The COR — but only the CO changes the deal.
2. A change so big it goes beyond the original contract's scope is a...?
   → Cardinal change — it needs new competition or a J&A, not a modification.

PART V

Apply It — Scenario Walkthroughs

Now think like a contracting professional. Each scenario shows the reasoning, step by step.

For each scenario, try to answer *before* reading the walkthrough. The goal isn't a memorized answer — it's the **thinking pattern**: identify the issue, find the framework, ask the right questions, and land on a defensible action.

SCENARIO 1 · BUYING METHOD & COMPETITION

The "we already picked the vendor" tool buy

> *A maintenance flight needs a specialized $9,000 diagnostic tool "by next week." The requiring activity sends you a quote from a single vendor and a brand-name part number. What do you do?*

▼ WORK IT OUT YOURSELF FIRST — THEN READ THE WALKTHROUGH

1. **Spot the dollar band.** $9,000 is at/under the micro-purchase threshold ($15K as of Oct 2025), so this can likely be a GPC micro-purchase — minimal process. That's good for the schedule.
2. **But check commerciality & competition reflexively.** Even under the micro-purchase threshold you should distribute purchases fairly. Is this tool sold by more than one source? A two-minute web/catalog check answers it.
3. **Test the brand name.** Is the brand truly required (a real form-fit-function reason), or just habit? If equivalent tools exist, you don't owe this vendor the buy.
4. **Confirm the money.** Quick check with FM: right color (likely O&M), available now, bona fide need of this year. No funds, no buy.
5. **Act and document.** If it's commercial, fairly priced, and the brand isn't artificially locking out competition, make the micro-purchase. Note the price reasonableness basis (e.g., "compared to two online catalog prices"). Done — fast *and* defensible.

TAKEAWAY Low dollar value buys speed, not a free pass on judgment. A 5-minute price/competition check is what separates a clean micro-purchase from a habit no one can defend.

↩ Review: Sections 8 (Competition) & 9 (Buying Methods)

SCENARIO 2 · CICA & SOLE SOURCE

"Only Vendor X can do it" — a $1.2M sole-source push

> *A program office wants to award a $1.2M production-support contract sole-source to the incumbent, citing "they're the only ones who know the system." How do you think through it?*

▼ WORK IT OUT YOURSELF FIRST — THEN READ THE WALKTHROUGH

1. **Frame it under CICA.** $1.2M is well over the SAT, so the *default is full and open competition*. Sole-source needs a recognized exception and a J&A — it's not yours to grant on the program's say-so.
2. **Demand market research, don't assume.** "They're the only ones" is a hypothesis. Issue a sources-sought / RFI. Often two or three firms surface — and the sole-source evaporates.
3. **If it's genuinely one source,** identify the right exception (here likely "only one responsible source," RFO 6.103-1) and build the J&A: the facts, the market research, why no one else can do it, the fair-and-reasonable basis, and steps to enable future competition.
4. **Check the citation against current rules.** The legacy 6.302 exceptions are now **RFO 6.103-1 through -7** — confirm the live RFO/R-DFARS citation and any class deviation before you finalize.
5. **Route for approval & pricing.** J&A approval rises with dollar value. In DoD, a $1.2M J&A sits in the **contracting officer's** tier (≤ $10M, by certification — R-DFARS 206.104-71, Table 206-1), so the quality of the file rests squarely on you; check whether your DAF/local policy sets a higher review. Loop in JA and your pricing support early. Without competition you'll lean on cost analysis to prove the price is fair.

TAKEAWAY Sole-source is an *exception you justify*, not a default you accept. Market research is both your reality check and your protest insurance.

↩ Review: Section 8 (Competition & CICA) & Section 7 (Market Research)

SCENARIO 3 · AUTHORITY

The COR who said "go ahead"

> *A contractor emails you an invoice for extra work, saying "your COR told us to start, so we did." The work isn't on the contract. Now what?*

▼ WORK IT OUT YOURSELF FIRST — THEN READ THE WALKTHROUGH

1. **Name the problem.** A COR can't direct new work or change price/scope. This is an **unauthorized commitment** — the Government isn't bound, but the contractor performed in good faith.
2. **Stop the bleeding.** Make sure no one keeps directing un-contracted work. Notify the contractor that only the CO can authorize work going forward.
3. **Investigate.** Get the facts: what was said, by whom, when; proof the Government received a benefit; MFRs from the COR and the contractor.
4. **Run the ratification test (RFO 1.405(c)).** Would it have been proper if a CO did it? Benefit received? Price fair and reasonable? Funds available then and now? If all yes, prepare the ratification package for the official with authority, with JA concurrence.
5. **Prevent the next one.** Re-brief the COR and PM on their limits, hold a kickoff, and send the contractor a letter naming exactly who may give direction.

TAKEAWAY Authority is binary: either the person could bind the Government or they couldn't. Ratification fixes the honest mistake — but the real win is preventing it with clear channels.

↩ Review: Section 3 (Authority & UACs) & Section 2 (Roles)

SCENARIO 4 · CONTRACT TYPE

The fuzzy-scope software effort

> *A program wants new software built, but the requirements are still evolving and nobody can confidently estimate the hours. They ask for firm-fixed-price "to be safe." Is that the right call?*

▼ WORK IT OUT YOURSELF FIRST — THEN READ THE WALKTHROUGH

1. **Diagnose the risk.** The defining feature here is *uncertainty*. Contract type is about who carries that cost risk.
2. **See what FFP would really do.** Force FFP onto an unknowable scope and you'll either get a heavily padded price (you pay for risk that may not happen) or a contractor who cuts corners when reality bites. "Safe" is an illusion here.
3. **Match type to maturity.** Early, uncertain development points toward a **cost-type** contract (e.g., CPFF or CPIF) that's honest about the unknowns — provided the contractor has an adequate accounting system and you get the required approvals (fixed-price is now the stated default, RFO 16.102(b), and a DoD cost-type award of $100M or more needs an E.O. 14402 justification under RFO 16.104).
4. **Resist T&M as the easy button.** Only if you truly can't estimate extent, with a tight ceiling, a D&F, and a surveillance plan.
5. **Plan to migrate risk.** As the design firms up, future phases can move toward fixed-price/incentive types. Type isn't forever — it should track the maturity of the work.

TAKEAWAY The "safe" contract type is the one that puts cost risk on whoever can actually control it. Honesty about uncertainty up front beats a comfortable label that breaks under pressure.

↩ Review: Section 10 (Contract Types) & Section 11 (Pricing)

SCENARIO 5 · SCOPE

"It's just one more mod"

> *A services contract has had several small add-ons. The program wants one more — adding a new task that wasn't in the original PWS. It's only 4% more money. In scope?*

▼ WORK IT OUT YOURSELF FIRST — THEN READ THE WALKTHROUGH

1. **Ask the scope question.** Would the original competitors have reasonably anticipated this task at award? A genuinely *new* task they couldn't have seen is a red flag.
2. **Look cumulatively, not incrementally.** 4% sounds tiny — but compare the *whole* modified contract to the **original** award. Several "small" add-ons can collectively push you out of scope.
3. **Check all four lenses.** Scope of competition, contract type, period of performance, and cost/price — together, not just dollars.
4. **If out of scope,** it's new work: compete it, or justify a sole-source with a J&A and the right exception. Don't disguise new work as a modification.
5. **Document the determination.** Whether in or out of scope, write the analysis down. A clean scope D&F is what protects you if it's ever questioned.

TAKEAWAY Scope creep is the quiet way a clean contract becomes an improper sole-source. Always measure the cumulative change against the original deal.

↩ Review: Section 15 (Mods & Scope) & Section 8 (Competition)

REFERENCE SHELF

Appendices

Quick-reference tools — verify every number before you rely on it.

APPENDIX A

Thresholds Quick-Reference

⚠ READ BEFORE USING THIS TABLE

These reflect the **1 Oct 2025** inflation adjustment and the FY2026 NDAA as implemented in the RFO and R-DFARS, **current as of October 2026**. Thresholds change, and contingency/emergency operations use higher figures. **Confirm the live number in the RFO/R-DFARS (or the Federal Register)** before citing it in an action.

Threshold	Value (as of October 2026)
Micro-purchase threshold (general)	**$15,000** (RFO 2.101)
Simplified Acquisition Threshold (SAT)	**$350,000** (RFO 2.101)
Certified (truthful) cost or pricing data	**DoD: $10M** for contracts awarded after 30 Jun 2026 (FY26 NDAA §1804; R-DFARS 215.403-3 (10 U.S.C. 3702)); earlier contracts & their mods keep **$2.5M**. **Civilian agencies: $2.5M** (RFO 15.403-3)
J&A approval — contracting officer limit	**DoD: $10M** (R-DFARS 206.104-71, Table 206-1); civilian: $900K (RFO 6.104-2)
Subcontracting plan trigger (large prime)	**$900K** ($2M construction) (RFO 19.109)
E.O. 14402 justification for non-fixed-price contracts	**DoD: $100M** (RFO 16.104)
Cost Accounting Standards (CAS)	Applies at **$35M** (41 U.S.C. 1502(b)(1)(B); DoD: R-DFARS 230.201-70(b)); **DoD-only units:** full coverage & Disclosure Statement at **$100M** (R-DFARS 230.201-70(a)) — FY26 NDAA §1806
CDA claim certification	Claims exceeding **$100,000** (RFO 33.205-2)
Commercial & emergency/contingency thresholds	Higher than standard — look up the specific case

Only the most common foundations are listed. The FY2026 NDAA (§1806) also raised Cost Accounting Standards thresholds: CAS applies to contracts of **$35M** or more (41 U.S.C. 1502(b)(1)(B) as amended; for DoD, R-DFARS 230.201-70(b)), and the old $7.5M trigger-contract concept is gone. For DoD-only business units, full CAS coverage and the Disclosure Statement start at **$100M** (R-DFARS 230.201-70(a), 230.101); units with mixed DoD and civilian work stay under FAR 30.201(b). Several socioeconomic sole-source caps are also moving. Treat any number you haven't verified against the current RFO/R-DFARS as "approximate."

APPENDIX B

Acronym Glossary

All acronyms used in this guide are defined below.

ACO / PCO
Administrative / Procuring Contracting Officer

ADA
Anti-Deficiency Act

BPA
Blanket Purchase Agreement

CAS
Cost Accounting Standards

CDA
Contract Disputes Act

CICA
Competition in Contracting Act

CLIN
Contract Line Item Number

CO / COR
Contracting Officer / CO's Representative

Cost contract
Costs reimbursed, no fee (the simplest cost-reimbursement type)

CPFF / CPIF
Cost Plus Fixed / Incentive Fee

D&F
Determination & Findings

DAFI
Department of the Air Force Instruction

DCAA / DCMA
Defense Contract Audit / Management Agency

DoW
Department of War (secondary name for DoD; used on the FMR)

FAR / DFARS
Legacy Federal / Defense FAR — being retired; use the RFO / R-DFARS

FFP / FPIF / FP-EPA
Firm-Fixed-Price / FP-Incentive (Firm) / FFP w/ Economic Price Adjustment

FM
Financial Management / Comptroller

FMR
Financial Management Regulation (DoW 7000.14-R)

FPDS
Federal Procurement Data System

GPC
Government Purchase Card

GSA
General Services Administration

HCA
Head of the Contracting Activity

IGCE
Independent Government Cost Estimate

J&A
Justification & Approval

JA
Judge Advocate (legal)

LPTA
Lowest Price Technically Acceptable

MFR
Memorandum for Record

MPT
Micro-Purchase Threshold

NAICS
North American Industry Classification System

NDAA
National Defense Authorization Act

O&M / RDT&E
Operations & Maintenance / Research, Dev, Test & Evaluation (appropriations)

OCI
Organizational Conflict of Interest

PGI
Procedures, Guidance & Information (DFARS companion)

PIA
Procurement Integrity Act

PWS / SOW / SOO
Performance Work Statement / Statement of Work / Objectives

R-DFARS
Revised DFARS — DoD supplement under the overhaul (replaces legacy DFARS)

REA
Request for Equitable Adjustment

RFI / RFP / RFQ
Request for Information / Proposals / Quotations

RFO
Revolutionary FAR Overhaul — the overhauled, governing FAR

SAM
System for Award Management (SAM.gov)

SAP / SAT
Simplified Acquisition Procedures / Threshold

SBA
Small Business Administration

SDVOSB / WOSB
Service-Disabled Veteran-Owned / Women-Owned Small Business

SPE
Senior Procurement Executive

SSDD
Source Selection Decision Document

T&M · T4C / T4D
Time & Materials · Termination for Convenience / Default

TINA
Truthful Cost or Pricing Data statute (legacy "Truth in Negotiations Act")

UAC
Unauthorized Commitment

APPENDIX C

Sources & Where to Verify

This guide references the **RFO, R-DFARS, and current R-DFARS class deviations** — not the legacy FAR/DFARS/DAFFARS, which are being retired. Everything was checked against the official text as of **October 2026**. The authoritative DAF resource is the **DAF Contracting Compass**, but it is CAC-restricted, so it is not reproduced here. Use these to confirm anything before you act:

Source	What it gives you
RFO — Acquisition.gov/far-overhaul	The overhauled, governing FAR: model deviation text, part summaries, and status
R-DFARS & class deviations — DoD DARS / Defense Pricing & Contracting	The revised DoD supplement (and DFARS PGI) and which deviations your DoD action must follow now
Federal Register	Final & proposed RFO/R-DFARS rules, effective dates, threshold adjustments
DAF Contracting Compass (CAC-restricted)	Authoritative DAF-specific procedures — confirm here; not reproduced in this guide
DAFI 63-138 & 63-101/20-101 (public)	Air Force Acquisition of Services & Integrated Life Cycle Management
DoW FMR (DoW 7000.14-R, Sept 2026 ed.)	DoD financial management policy — appropriations, availability, ADA reporting (cite by volume & section)
Annual NDAA (Public Law)	Statutory changes (e.g., FY2026 NDAA certified-data and CAS thresholds)
GAO "Red Book"	Principles of Federal Appropriations Law (fiscal law)
Your JA, FM, pricing & small-business offices	The authoritative human check on any hard call

APPENDIX D

Systems & Tools You'll Actually Use

Concepts are taught above; these are the systems you'll log into in your first weeks. Names and access change — confirm your office's current toolset and get your accounts set up early.

System	What you do in it
SAM.gov	Vendor registration, exclusions (debarment) checks, and posting/searching opportunities
Contract writing system	Build, route, and award the contract document (your office's system, e.g., a DoD CWS)
PIEE (incl. WAWF)	Procurement Integrated Enterprise Environment — invoicing/acceptance (WAWF), COR appointments (JAM — Joint Appointment Module), and performance reporting (CPARS — Contractor Performance Assessment Reporting System)

System	What you do in it
FPDS	Federal Procurement Data System — reporting contract actions
GSA eBuy / GSA Advantage	Searching schedules and issuing RFQs/orders against them
Acquisition.gov	The RFO model deviation text, R-DFARS links, and reference material

Access is usually role-based and takes time to provision — ask your supervisor which accounts you need on day one.

APPENDIX E

Contract-File Checklist

"If it isn't in the file, it didn't happen." The file tells the story of *why* you made each decision. Exact contents are tailored to dollar value and type — this is a typical skeleton by phase. Confirm your office's required index.

Phase	Typical documents
Planning	Requirement (PWS/SOW/SOO or spec); acquisition strategy/plan; market research report; IGCE; funding document; J&A or D&F if applicable
Solicitation	Synopsis/posting; the solicitation (incl. Sections L & M); clause matrix; questions & answers/amendments
Evaluation	Abstract of offers; price/cost analysis; technical/past-performance evaluation; competitive-range & exchanges record; source-selection decision (SSDD)
Award	Responsibility determination; the signed contract; funding/obligation document; debriefing records
Administration	COR appointment & surveillance; modifications & scope determinations; invoices/acceptance; CPARS
Close-out	Final reconciliation; release of claims; de-obligation; closeout statement

APPENDIX F

Who to Ask — and Where to Look It Up

Nobody expects a new specialist to know it all. They expect you to know *who to pull in* and *where the rule actually lives.* Keep this page handy — it turns "I don't know" into "I know who to ask."

Who to ask — your teammates and what they help with

Who	Pull them in for…
Your CO	Anything you're unsure of — they hold the warrant and the final call. Ask early, not after.
Judge Advocate (JA / legal)	Anything novel, sole-source, integrity/conflict, a protest, a claim, or a termination.
Financial Management (FM)	Is it funded? Right color of money? Right fiscal year? FM certifies funds.
Pricing / DCMA / DCAA	Cost and price analysis, audits, and contractor rates on bigger or cost-type buys.
Small Business Specialist	Rule of Two, set-asides, NAICS, the DD 2579, and the SBA programs.

Who	Pull them in for…
Program Manager / requiring activity	The requirement, the IGCE basis, and the technical evaluation. They own the *what*; you own the *how*.
COR	Eyes on performance after award — but remember, only the CO changes the deal.
Policy / Competition Advocate	J&A coordination and approval (DoD: over $10M to $100M), deviations, and clearance/review at higher dollar values.
GSA	Schedules and supply sources you can order from instead of building a contract from scratch.

Where to look it up — the part of the RFO / R-DFARS that governs (confirm the live text at acquisition.gov/far-overhaul)

When the question is about…	Start in RFO / R-DFARS Part
Authority, warrants, unauthorized commitments	Part 1 (warrants 1.403; ratification 1.405)
Procurement integrity / ethics	Part 3 (3.104)
Conflicts of interest (OCI) & responsibility	Part 9 (OCI 9.5)
Competition & justifications (J&A)	Part 6 (exceptions 6.103-1…-7; J&A 6.104; DoD approval R-DFARS 206.104-71)
Required (mandatory) sources	Part 8
Market research	Part 10
Commercial products & services	Part 12
Simplified acquisition (small buys)	Micro-purchases 12.4; commercial SAP 12.201-1; noncommercial SAP Part 13
Pricing & certified cost or pricing data	Part 15 (pricing 15.4; threshold 15.403-3; DoD R-DFARS 215.403-3)
Source selection	Part 15 (15.2)
Contract types & IDIQ ordering	Part 16
Options & interagency buys	Part 17
Small business programs	Part 19 (set-asides 19.104; 8(a) 19.108)
Fiscal law (color of money, TPA)	Appropriations law (31 U.S.C.) + GAO Red Book + DoW FMR
Modifications & scope	Part 43
Protests, disputes & claims	Part 33
Government property	Part 45
Terminations	Part 49 (commercial: 52.212-4)
Clearance / independent review	DAF policy (the DAF Contracting Compass — CAC)

REMEMBER THE FRAMING

FAR part *numbers* are still a handy shorthand, but the governing text now lives in the **RFO and R-DFARS** — and the overhaul renumbered some sub-sections (R-DFARS renumbered many more in mid-2026). When it matters, confirm the live text at **acquisition.gov/far-overhaul** (and search it fast at **acqvault.com**). Never quote a threshold or citation from memory.

THE NEXT VOLUME — ACQVAULT FIELD GUIDE, VOL. 2

This Volume 1 builds your foundation. **Volume 2 — The Unlimited Warrant Board** goes deeper: verbatim standards, branching board questions, and step-by-step coaching for the unlimited contracting-officer warrant board.

— End of Volume 1 · AcqVault Field Guide —

Training aid only. Not legal advice. Verify all references against current official sources before acting.